

HIGH COURT · JUDGMENT DIGEST

Jayshree Talkies v. Paschim Gujarat Vij Company Ltd.

C/LPA No. 616/2018 (in Special Civil Application No. 10600/2008) | High Court of Gujarat at Ahmedabad | Reserved (CAV) judgment, 26 July 2018

COURT	High Court of Gujarat at Ahmedabad (Division Bench)
CORAM	Hon'ble the Chief Justice Mr. R. Subhash Reddy & Hon'ble Mr. Justice Vipul M. Pancholi
DATE OF JUDGMENT	26 July 2018 (reserved / CAV; impugned order of the Single Judge dated 19.02.2018)
NATURE OF PROCEEDING	Letters Patent Appeal under clause 15 of the Letters Patent, against the order of the learned Single Judge dismissing Special Civil Application No. 10600/2008 (a writ petition under Article 226)
PARTIES	Jayshree Talkies, a proprietorship running a cinema at Junagadh (appellant / original petitioner) v. Paschim Gujarat Vij Company Ltd. — PGVCL (respondent distribution licensee)
PROVISIONS	Sections 50, 126, 135, 153, 154(5) & 154(6) and 156, Electricity Act, 2003; Regulation 7.6.5, Gujarat Electricity Regulatory Commission (Electricity Supply Code & Related Matters) Regulations, 2005; clause 15, Letters Patent; Article 226, Constitution of India
RESULT	Letters Patent Appeal partly allowed. The theft “supplementary bill” of Rs. 17,18,384.43 is quashed for want of opportunity of hearing and the matter is remanded for fresh assessment; the licensee is directed to restore supply forthwith pending assessment.

POINT FOR DETERMINATION

- Whether, in a case of theft of electricity, the licensee — having disconnected supply — may *unilaterally* assess the consumer's civil liability and raise a supplementary bill *without giving the consumer any notice or opportunity of hearing*; or whether such an opportunity is required at the assessment stage even though Section 135 (unlike Section 126) contains no express provision for it.

FACTS

The appellant, a proprietorship running the “Jayshree Talkies” cinema at Junagadh, held a three-phase industrial connection (Consumer No. 35101/5500/8) used for the theatre and its air-conditioning plant. On 5 July 2008 the appellant itself complained that supply was not available from the meter; the complaint was registered and the meter was removed the same day under a *Rojkam*. According to the licensee, the meter's MMB seal fell at the first touch, the old meter and MMB were replaced, and on a laboratory test on 14 July 2008 — said to be in the consumer's presence — theft of energy was established. On that footing the licensee raised a supplementary bill on the “ABCD formula” for theft under Section 135 in the sum of Rs. 17,18,384.43.

The appellant's case was that the meter was in fact defective (a Duke Company meter which, under a Board circular, ought to have been replaced), that the theft allegation was false, and that the supplementary bill had been raised without any notice, without supply of the laboratory report, and without any opportunity — in breach of natural justice and of the statutory Supply Code. The learned Single Judge dismissed the writ petition on 19 February 2018 (having declined an adjournment and proceeded in the absence of the appellant's counsel), vacating an earlier interim order. The present Letters Patent Appeal followed.

REASONING OF THE COURT

HEADNOTE

Immediate disconnection of supply on a *prima facie* finding of theft needs no prior notice; but the *assessment of civil liability*, and the supplementary bill that follows, cannot be made unilaterally without opportunity. Regulation 7.6.5 of the GERC Supply Code Regulations, 2005 — framed under Section 50 and read with Section 154(5)&(6) — has opportunity *inbuilt*, because the consumer must be allowed to prove the actual period of theft (up to twelve months). A supplementary bill raised without that opportunity is quashed and remanded.

Disconnection and assessment stand on different footings. The Court accepted that where theft is *prima facie* found the licensee may disconnect supply at once, without waiting and without opportunity. But it held that fastening *civil liability* by way of an assessment for loss of energy is a distinct step: before that liability is fastened, an opportunity must be given to the consumer to show whether the assessment should be for twelve months or a lesser period.

Regulation 7.6.5 makes the assessment period-sensitive, not automatic. Under Regulation 7.6.5 of the 2005 Regulations the loss is assessed at twice the tariff for a maximum of twelve months preceding detection, or the exact period of theft, whichever is less. The consumer is entitled to lead evidence — for instance, that the meter was replaced shortly before detection — to confine the assessment to a shorter period. That evidentiary exercise can arise “only if the consumer is given opportunity, but not otherwise.”

The authorities relied on by the licensee do not reach the assessment stage. *Executive Engineer, SESCO (Orissa) v. Sri Seetaram Rice Mill* drew the distinction between unauthorised use under Section 126 (civil) and theft under Section 135 (criminal, mens rea relevant), but did not decide the manner or method of assessing civil liability in theft cases. *Torrent Power AEC Ltd. v. Gayatri Intermediates* — and, within it, *Harsh Wood Products* and *Hyderabad Vanaspathi* — held only that no opportunity is required before *disconnection*. Neither dispenses with opportunity at the stage of assessment.

Opportunity is inbuilt in the Supply Code and safeguarded by Section 154. Although Section 135 (offences and penalties) prescribes no method for assessing civil liability, the Supply Code notified under Section 50 must be followed, and Regulation 7.6.5 carries opportunity within it. The initial assessment by the authority is in any event subject to the Special Court under Section 154(5), any excess deposited being refundable under Section 154(6) — confirming that the authority's assessment is a provisional, opportunity-bound exercise, not a unilateral final demand.

The short question is answered in the negative. A licensee cannot, after disconnecting for theft, unilaterally assess and bill the consumer without notice. As no such procedure was followed before the supplementary bill was issued, the bill could not stand and the appeal had to be allowed to that extent.

INTERPRETATION OF THE ELECTRICITY STATUTES

ELECTRICITY ACT, 2003 & SUPPLY CODE

Section 135 — Theft of Electricity (silent on the method of civil assessment)

Section 135, in Part XIV, deals with the offence and penalty of theft; it does *not* indicate the manner or method of assessing the consumer's civil liability for the energy stolen. That gap is filled by the Electricity Supply Code notified under Section 50, which the licensee is bound to follow before making an assessment.

Section 126 vis-à-vis Section 135 — Unauthorised Use and Theft

Section 126 governs malpractice / unauthorised use *other than* theft and prescribes its own procedure; Section 135 is criminal theft, in which mens rea is relevant (*Seetaram Rice Mill*). The Section 126 procedure does not apply to Section 135, but the absence of an express procedure in Section 135 does not license a unilateral assessment — the Supply Code supplies the method and the opportunity.

Regulation 7.6.5, GERC Supply Code Regulations, 2005 — Assessment with Inbuilt Opportunity

Framed in exercise of Section 50, Regulation 7.6.5 empowers assessment at twice the tariff for up to twelve months preceding detection, or the exact period of theft, whichever is less, the exact period to be arrived at on the guidelines or on other evidence the consumer may produce. The right to produce such evidence means opportunity is *inbuilt*; a unilateral assessment for the maximum period in every case is impermissible.

Section 154(5) & 154(6) — Special-Court Supervision and Refund

The civil liability initially assessed by the authority is subject to the orders of the Special Court under Section 154(5); any amount deposited in excess of the liability finally determined is refundable to the consumer under Section 154(6). The authority's assessment is therefore an initial, reviewable step, not a final unilateral demand.

RATIO DECIDENDI

In a case of theft of electricity, though supply may be disconnected forthwith without prior notice, the licensee cannot *unilaterally assess civil liability and raise a supplementary bill without giving the consumer an opportunity of hearing*. Regulation 7.6.5 of the GERC Electricity Supply Code Regulations, 2005 — framed under Section 50 and read with Section 154(5)&(6) — has such opportunity inbuilt, the consumer being entitled to lead evidence on the actual period of theft.

ALSO HELD & OBITER

- **No opportunity is required before disconnection.** On a *prima facie* finding of theft the licensee may disconnect at once without notice; the statutory appeal, judicial review and the remedy before the Special Court are sufficient safeguards (approving *Torrent Power*; *Harsh Wood Products*; *Hyderabad Vanaspathi*).
- **The Section 126 / 135 distinction is reaffirmed.** Unauthorised use (Section 126) is civil malpractice; theft (Section 135) is criminal and turns on mens rea (*Seetaram Rice Mill*) — but that distinction does not decide the manner of assessing civil liability in theft.

DISPOSITION

Letters Patent Appeal **partly allowed**. The Single Judge's order dated 19.02.2018 is modified; the supplementary bill of Rs. 17,18,384.43 (Annexure-D in SCA No. 10600/2008) is quashed and set aside; the matter is remanded to the

competent authority to decide afresh after giving the appellant an opportunity under Regulation 7.6.5. The respondent is directed to restore power supply forthwith pending assessment; the Rs. 5 lakh already deposited will abide the final assessment. No order as to costs; the Civil Application is disposed of.

SIGNIFICANCE

A Division-Bench statement, in the electricity-theft context, of where natural justice bites. Five propositions stand out:

- **Disconnect without notice, assess only with notice.** The judgment cleanly separates the licensee’s power to cut supply immediately on *prima facie* theft from its power to fasten civil liability, which requires an opportunity of hearing.
- **A gap in Section 135 is filled by the Supply Code.** Section 135 prescribes no method for assessing civil liability; the assessment machinery — and its inbuilt opportunity — come from Regulation 7.6.5 framed under Section 50.
- **The twelve-month cap is rebuttable.** Assessment runs up to twelve months before detection, or the exact lesser period; the consumer must be allowed to prove a shorter period, so opportunity is indispensable.
- **The assessment is provisional, not final.** It is subject to the Special Court under Section 154(5), with refund of any excess under Section 154(6) — a further reason it cannot be a unilateral last word.
- **Disconnection authorities do not answer assessment.** Precedents denying opportunity before *disconnection* do not dispense with opportunity at the *assessment* stage; relying on them to skip notice is a category error.

TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received. “Distinguished” and “Approved” reflect the Court’s own characterisation.

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. v. Sri Seetaram Rice Mill</i> (2012) 2 SCC 108 · Supreme Court	Drew the Section 126 (unauthorised use, civil) / Section 135 (theft, criminal, mens rea) distinction. Held <i>not</i> to assist the licensee: it did not decide the determination or method of assessing civil liability in theft cases.	Distinguished
<i>Torrent Power AEC Ltd. v. Gayatri Intermediates Pvt. Ltd.</i> 2006 (2) GLH 375 · Gujarat High Court (DB)	No opportunity need be given before <i>disconnecting</i> supply on <i>prima facie</i> theft; departmental appeal, judicial review and the Special-Court remedy are sufficient safeguards. Approved on disconnection, but held not to govern the assessment stage.	Approved
<i>M.P. Electricity Board v. Harsh Wood Products</i> (1996) 4 SCC 522 = AIR 1996 SC 2258 · Supreme Court	Prima-facie theft: no notice/opportunity required before disconnection; not violative of Articles 14 or 20(1) or of natural justice. Referred to (through <i>Torrent Power</i>) on the disconnection point.	Referred
<i>Hyderabad Vanaspathi Ltd. v. A.P. State Electricity Board</i> (1998) 4 SCC 470 · Supreme Court	To the same effect — no opportunity before disconnection where theft is <i>prima facie</i> found. Referred to (through <i>Torrent Power</i>).	Referred

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.